
CHURN IS DEAD

The Expansion Ceiling Audit

Decompose last year's NRR into what CS controls, what the contract did, and what you genuinely earned

Most CS teams defend one blended NRR number that is secretly doing three jobs. This audit forces you to pull it apart — Floor, Lever Gap, Mechanical, and Earned — so you only get measured on the slice you actually drive. Score yourself honestly; the proportions will surprise you.

Scoring: Rate each item 1-5. 1 = not happening, 5 = embedded in operations.

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SECTION 1

Floor (GRR): The Churn You Actually Control

When gross retention holds flat while net retention falls, your Floor is doing its job — and that flatness is your evidence that the problem is upstairs, not in your book.

Criteria	What Good Looks Like	What Bad Looks Like
GRR is tracked and reported separately from NRR	GRR has its own line on the goals slide and trend; CS owns it explicitly	GRR is buried inside a single blended NRR number nobody decomposes
Adoption and value delivery are measured per account	Documented adoption milestones tied to the value promised at signing	Adoption is anecdotal; 'they seem happy' passes for evidence
Champion health is monitored and at-risk champions trigger plays	Named champion per account with engagement signals and succession plan	Champion departures are discovered at renewal, too late to save
Saves and wobble interventions are logged and reviewed	A repeatable save motion with documented outcomes feeds QBRs	Saves happen by heroics with no record of what worked
Flat GRR is framed as proof, not failure	Leadership accepts steady GRR as the Floor doing its job	Steady GRR gets ignored while CS eats the NRR drop

Score This Section

Criteria	Score
GRR reported separately and owned by CS	1-5
Adoption and value delivery measured per account	1-5
Champion health actively monitored with plays	1-5
Save motion documented and repeatable	1-5

Your Score: ____ / 5

SECTION 2

The Lever Gap: Whitespace You Can See and Cannot Sell

The Lever Gap is the expansion that needs a SKU, use case, or price point the company hasn't built. Naming it is how you stop running expansion plays into a wall — and how you redirect the blame to roadmap and pricing.

Criteria	What Good Looks Like	What Bad Looks Like
Unsellable whitespace is identified and named per account	A documented list of demand you can see but can't fill today	Missed expansion is assumed to be a CS effort problem
Lever Gap demand is routed to product and pricing	A standing feedback loop sends gap data to roadmap owners	Customer demand for missing SKUs dies inside CS
CS distinguishes 'no need' from 'no product to sell'	Each flat account is tagged: satisfied-and-done vs. blocked by gap	Flat accounts all get lumped as CS underperformance
Lever Gap is quantified as a share of theoretical NRR ceiling	You can state how many NRR points are locked behind missing levers	No one knows where the ceiling actually sits

Score This Section

Criteria	Score
Unsellable whitespace identified and named	1-5
Gap demand routed to product and pricing	1-5
Flat accounts categorized by cause	1-5
Lever Gap quantified against the ceiling	1-5

Your Score: ____ / 5

SECTION 3

Mechanical Expansion: Revenue the Contract Drove, Not You

Escalators, seat true-ups, and usage overages are real money that hits the bank — but it's accounts-receivable discipline wearing a growth costume. Crediting it to your playbook hides how little Earned expansion you actually have.

Criteria	What Good Looks Like	What Bad Looks Like
Contractual escalators are isolated as their own NRR line	Every YoY increase mapped to a contractual clause is tagged Mechanical	Escalator revenue is credited to the expansion playbook
Seat and usage true-ups are separated from sold expansion	Auto-triggered reconciliations are flagged distinct from CS plays	Customer headcount growth is reported as CS-driven upsell
Waived escalators are tracked and enforced deliberately	Previously waived 3-5% increases are identified and reinstated	Escalators silently lapse and the revenue is invisible
Mechanical points are quantified for the planning conversation	You can state exactly how many NRR points are purely mechanical	Mechanical and Earned are indistinguishable in your reporting

Score This Section

Criteria	Score
Escalators isolated as their own NRR line	1-5
True-ups separated from sold expansion	1-5
Waived escalators tracked and enforced	1-5
Mechanical points quantified	1-5

Your Score: ____ / 5

SECTION 4

Earned Expansion: The Only NRR You Should Be Measured On

Earned NRR is net retention from a genuinely new use case — stripped of escalators, true-ups, and price hikes. It's almost always the smallest slice, and it's the number you should fight to put on your goals slide.

Criteria	What Good Looks Like	What Bad Looks Like
Earned NRR is calculated as a standalone figure	Blended NRR minus Mechanical equals a reported Earned NRR number	Only blended NRR exists; Earned is never computed
New use cases and net-new teams are logged at the deal level	Each Earned dollar ties to a scoped-after-signing use case	Any expansion counts as a 'win' regardless of source
Earned expansion has a repeatable motion behind it	A documented play creates demand customers didn't know they had	Earned wins are accidental and can't be reproduced
Earned NRR is what CS proposes to be held to	Planning conversation centers on the genuine slice, not the blend	CS accepts a raw blended NRR target and inherits roadmap failures
Earned NRR trend is tracked year over year	You can show Earned held steady even as blended slid	A blended decline gets eaten entirely as a CS miss

Score This Section

Criteria	Score
Earned NRR calculated as a standalone figure	1-5
New use cases logged at deal level	1-5
Repeatable Earned expansion motion exists	1-5
Earned NRR is the number CS commits to	1-5

Your Score: ____ / 5

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Your Scorecard

Dimension	Your Score	Max
1. Floor (GRR): The Churn You Actually Control	_____	5
2. The Lever Gap: Whitespace You Can See and Cannot Sell	_____	5
3. Mechanical Expansion: Revenue the Contract Drove, Not You	_____	5
4. Earned Expansion: The Only NRR You Should Be Measured On	_____	5
TOTAL	_____	20

Total Score	Assessment	What It Means
16-20	Uncuttable	Embedded, measurable, strategically irreplaceable.
12-15	Defensible	Solid but gaps remain. Focus on lowest dimension.
8-11	Vulnerable	Real risk ahead. Treat as urgent.
4-7	Critical	Cannot survive scrutiny. Major changes needed.

What to do next: Take your lowest-scoring section and build a 30-day action plan. One at a time. Then share this with leadership -- not to ask permission, but to show you know where the gaps are.

That is the whole game. Not deflection. Decomposition. You are not refusing accountability. You are refusing to be accountable for three different things under one label.

-- Kuber

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